



The IMF (International Monetary Fund) had in April 2025 downgraded the global economic growth outlook to 2.8% from 3.4% earlier. World trade growth has been downgraded to -1.5% this year. I remember the days when world trade used to grow at 16% to 20% per year. These projections were before the latest war between the US, Israel, and Iran, which has fundamentally affected oil prices, which shot up during the war. We now have to see whether they will come back to the normal rate of \$60 -65 per barrel and how soon that happens. There is a bit of uncertainty at this moment whether world trade and the global economic outlook will

be further downgraded because of the effect of oil prices going up.

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How do you see India's GDP growth shaping in FY26? Do you think 6.5% GDP growth is achievable given the external uncertainties?

Yes, India continues to remain a bright spot in the global economy due to two to three reasons. One is that, relatively speaking, we are much less dependent on global trade. The Indian economy is largely driven by domestic consumption and domestic investment, which remain resilient. The government has massively boosted capital expenditure in the

last couple of years, and it remains a major driver for economic growth. Second, while we are dependent on oil imports, we have managed to diversify our crude oil basket so that the average price for the Indian basket is generally lower than the open market rate. We are also working on domestic crude oil discoveries, and our emphasis on renewable energy is also helping curb the demand for imports. India's foreign exchange reserves and other macro fundamentals remain robust. Services exports continue to show a promising trend. I do not see major issues in achieving a 6.5% growth rate in the current year, and although there are always some downside

risks and upside risks, as things stand today, it should not be a big challenge to achieve 6.5% growth.

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With crude prices expected to trend low and prospects of a normal monsoon, are inflationary pressures a thing of the past for now? Do you expect any concerns about vegetable prices that have been a problem of late?

I think food prices should be manageable this year because the monsoon is supposed to be better than normal, or above normal. The only worry about inflation is due to crude oil prices. If they continue to